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Challenges of Adapting a Rules Based Monetary Policy Approach to Crisis Intervention

ECO 495: What's Wrong With Economics?

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The paper investigates the Federal Reserve's response to COVID-19, tracing how rapid rate reductions, aggressive quantitative easing, and special credit facilities kept markets afloat but cultivated the most resilient inflation since the early 1980s. Drawing on empirical evidence, we highlight the challenges of adapting a rules based monetary policy approach to crisis intervention. In contrast to the Great Recession's slower pace of stimulus, the pandemic response overshot toward excess. The analysis concludes with a feasible three-pronged crisis playbook: deliver liquidity quickly, coordinate with fiscal policy, and tie every intervention to transparent, data-linked exit criteria. The findings emphasize that there is no need to reinvent the wheel, rather the Federal Reserve needs to maintain public trust and limit mission creep.

I. Introduction

The COVID-19 pandemic provided an unprecedented case study of how economic theory informs policy decisions, particularly in the United States. The crisis led to a sudden and severe contraction in economic activity, with businesses shutting down and millions of workers losing their jobs. In early 2020, real GDP plummeted, reaching nine percent below its pre-recession standing.¹ The scale and speed of this economic downturn drew comparisons to the Great Depression of the 1930s.²

Government-imposed restrictions and widespread fear of the virus significantly limited consumer activity. Economic consequences were particularly damaging for workers in low-wage sectors that relied on face-to-face interactions.³ In response, federal policymakers swiftly implemented various relief and recovery measures throughout 2020 and 2021 to stabilize the economy and mitigate the crisis' impact. Despite the severity of the recession, the economy began to show signs of recovery as early as May 2020, making what could have been a prolonged downturn into the shortest recession in the post-World War II era.

By the end of 2023, job creation and overall economic activity had slightly exceeded pre-pandemic projections, signaling a stronger-than-expected recovery. However, the long-run consequences of aggressive fiscal and monetary intervention became evident through persistent inflation. The rapid influx of stimulus and supply chain disruptions contributed to rising prices and forced policymakers to pivot toward inflation control in the past year. As policymakers attempted to assess the potential effectiveness of responses, they were challenged by the limited availability of data on key economic indicators as the pandemic unfolded. This circumstance illustrates the difficulty of balancing short-term economic stabilization with long-term financial sustainability and highlights the challenges of applying economic theory to real-world policymaking during a period of crisis.

II. Monetary Policy Mechanisms

Created through the Federal Reserve Act of 1913, the Federal Reserve was established as a monetary system tasked with responding to stresses in the economy.⁴ The Federal Reserve System includes the Board of Governors and 12 federal reserve banks around the United States. Although the Federal Reserve holds a variety of functions, scrutiny mainly falls under their handling of monetary policy. The Federal Open Markets Committee (FOMC) is a meeting where monetary policy decisions are made. Those with votes on the matter include the seven members of the board of governors, the President of the Federal Reserve Bank of New York, and 4 of 11 Reserve Bank presidents on a rotating basis.⁵ Importantly, the Fed operates as an independent institution. When structuring the Federal Reserve, Congress ensured that its monetary policy decisions could not become subject to political pressures that could influence outcomes.⁶ To aid a smooth transition into policy changes, the Fed utilizes forward guidance, a communication strategy, to inform the public about the likely future course of monetary policy. When the Fed

¹ Center on Budget and Policy Priorities, "Chart Book: Tracking the Recovery From the Pandemic Recession."

² Andreas, Schrimpf "Leverage and Margin Spirals in Fixed Income Markets during the COVID-19 Crisis."

³ "Chart Book: Tracking the Recovery From the Pandemic Recession."

⁴ Federal Reserve, "The Fed Explained—Monetary Policy"

⁵ Federal Reserve, "Monetary Policy: What Are Its Goals? How Does It Work?"

⁶ The Federal Reserve, "What does it mean that the Federal Reserve is "independent within the government?"

provides forward guidance, individuals and businesses can use this information in making decisions about spending and investments.⁷ For example, the Federal Reserve's quarterly Summary of Economic Projections (SEP) includes individual policymakers' forecasts for essential economic variables, including GDP growth, unemployment rates, inflation levels, and interest rates, thus providing markets with precise, quantitative benchmarks.⁸ The first usage of forward guidance was in June 2004, when the FOMC used language to signal that it was approaching the time at which a tightening of monetary policy was warranted.

The Fed sets the stance of monetary policy to influence the federal funds rate, a short-term interest rate, and overall financial conditions with the goal of maximum employment and stable prices. Fed philosophy states that when households and businesses can reasonably expect inflation to remain low and stable, they are able to make more calculated decisions regarding saving, borrowing, and investment, which contributes to a growing economy. The FOMC places an inflation target at the rate of 2% per year, as measured by the annual change in the price index for personal consumption expenditures (PCE). The target rate is deemed most consistent with the achievement of both parts of the dual mandate and was implemented by former Fed Chair Ben Bernanke in 2012.⁹ The rationale is logical. Higher prices add burdens to Americans, especially those struggling with lost jobs and or relying on savings. At the same time, inflation that is too low can weaken the economy. When inflation runs too low below its desired level, households and businesses will reduce spending, lowering GDP and inflation expectations. This can pull actual inflation even lower, resulting in a cycle of lower inflation and inflation expectations.

The FOMC considers a broad range of labor market indicators, including U3, which measures how many workers are unemployed, or U6, which also includes discouraged workers who have stopped looking for a job. Utilizing the vacancy rate, the Fed additionally looks at how difficult it is for people to find jobs. The FOMC does not specify a fixed goal for employment because the maximum level of employment is largely determined by factors that change over time and may not be directly measurable. However, Fed policymakers occasionally release their estimates of the expected unemployment rate.

III. Successful Monetary Policies During COVID-19

The Federal Reserve's response to the COVID-19 pandemic reflected a direct application of monetary policy tools designed to stabilize financial markets and support recovery. Following a sharp contraction in spending and a surge in unemployment early in 2020, the Fed implemented expansionary policies to prevent a prolonged recession. During this period, the FOMC relied on three primary tools: adjusting the federal funds rate, balance sheet policies, and forward guidance.

In March 2020, the Federal Reserve cut short-term interest rates to between 0 and 25 basis points to lower borrowing costs and encourage investment.¹⁰ Simultaneously, the Fed initiated a large-scale quantitative easing program, purchasing \$80 billion in Treasury securities

⁷ The Federal Reserve, "What is forward guidance, and how is it used in the Federal Reserve's monetary policy?"

⁸ Jenny Tang, "Forward Guidance During the Pandemic: Has It Changed the Public's Expectations?"

⁹ The Federal Reserve, "Why does the Federal Reserve aim for inflation of 2 percent over the longer run?"

¹⁰ Marc Labonte, "The Federal Reserve's Response to COVID-19: Policy Issues." Congressional Research Service, February 2021, https://case.house.gov/uploadedfiles/r46411_fed_reserve.pdf.

and mortgage-backed assets to inject liquidity into financial markets each month.¹¹ These measures, previously used during the 2008 financial crisis, prevented another credit freeze. Recognizing the risk of a currency shortage, the Fed expanded its network of dollar liquidity swap lines with major foreign central banks.¹² This action helped ease strains in U.S. dollar funding markets, particularly for international banks and institutions reliant on dollar-denominated debt. By reducing pressure on foreign markets, the Fed's intervention stabilized global financial markets and protected U.S. trade and investment channels from further disruption.

As market stability remained fragile, the Fed introduced additional measures under Section 13(3) of the Federal Reserve Act to maintain credit flow to households and businesses. The Money Market Mutual Fund Liquidity Facility (MMLF) supported financial institutions, while the Commercial Paper Funding Facility (CPFF) and Municipal Liquidity Facility (MLF) stabilized corporate and municipal debt markets.¹³ The Main Street Lending Program (MSLP) extended credit to small businesses, preventing mass layoffs.¹⁴ These interventions align with the financial accelerator framework, which describes how deteriorating financial conditions can amplify economic downturns by reducing borrowing and investment. The Fed helped interrupt this feedback loop by keeping credit markets functioning and supporting broader economic stability.

In August 2020, the Fed revised its monetary policy framework, shifting its approach to inflation and employment targets. It committed to intervening only if unemployment fell below its sustainable level rather than reacting preemptively to tightening labor markets.¹⁵ Additionally, it moved from a fixed target to an average 2% inflation target, allowing periods of lower inflation to be offset by higher inflation.¹⁶ This shift modified the application of the Phillips Curve to prioritize employment growth. In September 2020, the FOMC provided forward guidance, outlining conditions for rate hikes and asset purchase tapering. The revised strategy was necessary to foster a stronger and more inclusive recovery.

Empirical evidence suggests that the Fed's interventions were highly effective in stabilizing the economy. Martin Feldkircher's research found that monetary stimulus significantly boosted output growth and reduced unemployment.¹⁷ Without these measures, the recession would have been more profound, and recovery considerably slower. Monetary easing also led to U.S. dollar depreciation, improving trade competitiveness.¹⁸ Unemployment, which peaked at 14.8% in April 2020, rapidly declined to 6.7% at the end of the year and reached 3.4%

¹¹ Jane Ihrig and Chris Waller, "The Federal Reserve's responses to the post-Covid period of high inflation." *The Federal Reserve*, February 14, 2024. <https://www.federalreserve.gov/econres/notes/feds-notes/the-federal-reserves-responses-to-the-post-covid-period-of-high-inflation-20240214.html>.

¹² Marc Labonte, "The Federal Reserve's Response to COVID-19: Policy Issues."

¹³ Daniel Bachman, "Federal Reserve monetary policy in the time of COVID-19." Deloitte Insights, November 2020, https://www2.deloitte.com/content/dam/insights/us/articles/6787_di_ibtn-federal-reserve-monetary-policy/6787_DI_IBTN-Federal-Reserve-monetary-policy.pdf.

¹⁴ Ibid.

¹⁵ Ibid.

¹⁶ Ibid.

¹⁷ Martin Feldkircher, "Measuring the Effectiveness of US Monetary Policy during the COVID-19 Recession." *Scottish Journal of Political Economy*, vol. 68, no. 3, 2021, pp. 287–97, <https://doi.org/10.1111/sjpe.12275>.

¹⁸ Ibid.

in 2023.¹⁹ Typically, recessions lead to rising poverty rates, yet aggressive policy action led to eight million fewer people falling below the poverty line in 2020.²⁰

The combination of low interest rates, quantitative easing, forward guidance, and targeted liquidity programs prevented financial market collapse. The Fed's response highlights the effectiveness of expansionary monetary policy in mitigating economic downturns and underscores the importance of proactive central banking during crises.

IV. Failed Monetary Policies During COVID-19

While economic theory is invaluable in guiding monetary policy, it inherently grapples with uncertainty and should never be interpreted as an exact science. Economic models, essential to policy making, rely on assumptions that rarely encompass anomalous scenarios, making monetary policy decisions vulnerable when these theories are applied rigidly without considering unique economic circumstances.²¹ The COVID-19 era effectively demonstrated this vulnerability. Early in the pandemic, swift policy responses stabilized markets temporarily; however, subsequent economic disruptions and rapid labor market fluctuations produced misleading signals from historically reliable indicators.

One important example was the delayed and misleading signals from historically reliable economic indicators, triggered by unusual labor force movements stemming directly from pandemic disruptions and the uneven economic recovery.²² Additionally, reliance on preliminary economic data, later subject to substantial revisions, further added to policy miscalculations. Strategies like forward guidance, despite their theoretical advantages, were similarly mismanaged, creating noticeable disconnects between intended policy outcomes and real world market reactions.²³ This part of the paper examines the flawed implementation of monetary policy, beginning with a critical analysis of faulty signals from traditional indicators and the implications of revised economic data, followed by assessing the consequences of excessive reliance on forward guidance. Ultimately, this analysis highlights broader economic ramifications arising from these policy missteps, emphasizing unintended impacts on key sectors such as housing markets and overall inflation dynamics..²⁴

Data anomalies stemming from the COVID-19 pandemic, most significantly the rapid shifts in unemployment, exposed the limitations of traditional economic indicators and data reliance in policymaking. A notable example was the triggering of the Sahm Rule shortly before the September 2024 FOMC meeting. The Sahm Rule signals the start of a recession when the three-month moving average of the U3 unemployment rate rises by at least 0.5 percentage points

¹⁹ Center on Budget and Policy Priorities. "Robust COVID Relief Bolstered Economy and Reduced Hardship for Millions." March 6, 2023. <https://www.cbpp.org/research/poverty-and-inequality/robust-covid-relief-bolstered-economy-and-reduced-hardship-for>.

²⁰ Ibid.

²¹ Andrew T. Levin and Arunima Sinha, "Limitations on the Effectiveness of Monetary Policy Forward Guidance in the Context of the COVID-19 Pandemic." NBER Working Paper No. 27748, National Bureau of Economic Research, Cambridge, MA, August 2020.

²² Thomas L. Hogan, "The Failure of Forward Guidance: Lessons from the Pandemic Recovery." *Southern Economic Journal* (2025): 1–22. <https://onlinelibrary.wiley.com/doi/epdf/10.1002/soej.12760>

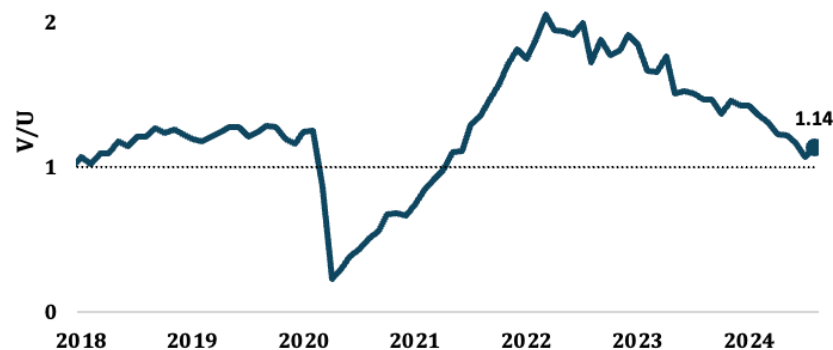
²³ Athanasios Orphanides, "The Forward Guidance Trap." IMFS Working Paper Series, No. 190, Goethe University Frankfurt, October 2023. <https://www.econstor.eu/bitstream/10419/278756/1/1860980481.pdf>

²⁴ William Diamond, Tim Landvoigt, and Germán Sánchez Sánchez, "Printing Away the Mortgages: Fiscal Inflation and the Post-Covid Housing Boom." Working Paper, University of Pennsylvania, May 10, 2023.

relative to its minimum over the previous 12 months.²⁵ Historically reliable due to simplicity and accuracy, the Sahm Rule correctly signaled all nine recessions since 1960.²⁶ However, when triggered in July of 2024 by a weaker-than-expected July jobs report and rising unemployment, a recession did not follow.

Claudia Sahm, creator of the Sahm Rule and former Fed economist, stated that the July 2024 signal was a false positive, mainly due to a rising labor force participation rate (LFPR).²⁷ Unemployment was rising because people were re-entering the workforce. LFPR and unemployment increases occurred almost simultaneously, suggesting a quicker than expected reattachment of workers rather than a deterioration in the labor market. Furthermore, following a period of extreme labor market tightness post-pandemic, the labor market gradually rebalanced. This is reflected in the vacancy-to-unemployment ratio, which was approaching a value of 1, signaling a more balanced labor market.

Figure 1: Vacancies to Unemployment



Source: U.S. Bureau of Labor Statistics

In addition to unusual patterns, provisional data estimates proved unreliable and underwent major revisions.²⁸ Provisional data are preliminary statistics that may change as new information is collected and reviewed.²⁹ These adjustments can change the economic outlook substantially. The 20-basis-point unemployment increase in July triggered the Sahm rule. In addition to the rise in LFPR, the unemployment increase can also be attributed to the significant downward revisions in job figures, reducing the number of jobs added during the year by 818,000, or 30% of the previous estimate.³⁰ Another influential revision occurred in August of

²⁵ John O'Trakoun and Adam Scavette, "SOS! Signaling Recessions Earlier | Richmond Fed." Federal Reserve Bank of Richmond, February 2025. https://www.richmondfed.org/publications/research/economic_brief/2025/eb_25-07.

²⁶ Marc Labonte and Lida R Weinstock, "The Sahm Rule Trigger: Is the United States in a Recession?." Congress.gov. April 7, 2025. <https://www.congress.gov/crs-product/IN12410>.

²⁷ Bloomberg Television, "Fed's 50 Bps Rate Cut Was the Right Move, Claudia Sahm Says", September 18, 2024. <https://www.youtube.com/watch?v=-WLcUeoRYcU>.

²⁸ American Statistical Association, "Understanding the Federal Statistical System: Why Are Economic Indicators Revised." <https://www.amstat.org/docs/default-source/files/pdfs/cos-asa-revisions-economic-indicators.pdf>

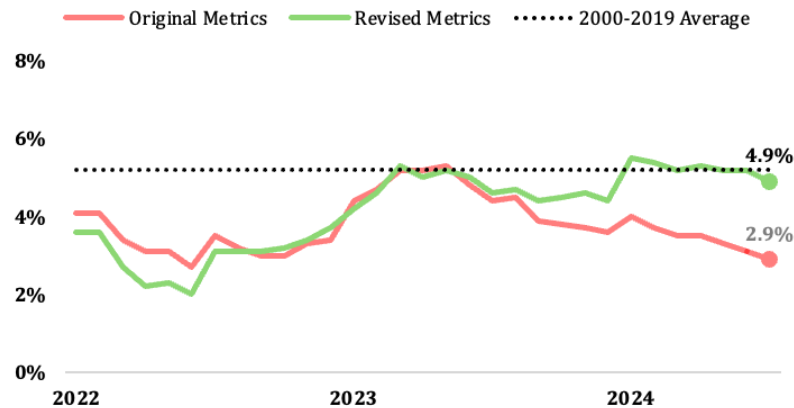
²⁹ Ibid.

³⁰ House Budget Committee, "818,000 Fewer Jobs Added to the Economy than Previously Reported | The U.S. House Committee on the Budget - House Budget Committee." Accessed April 7, 2025.

<https://budget.house.gov/press-release/-818000-fewer-jobs-added-to-the-economy-than-previously-reported>.

2024 with the personal saving rate, which was adjusted from 2.9% to 4.9%.³¹ The initially low saving rate implied constrained consumer spending, while the revised rate, in line with the 2000-2019 average, indicated more financial flexibility than previously anticipated.³²

Figure 2: Personal Saving Rate



Source: U.S. Bureau of Economic Analysis via FRED

Despite these findings, the Federal Reserve cut the federal funds rate by 50 basis points in the September 2024 FOMC meeting.³³ Although Fed Chair Jerome Powell did not explicitly cite the Sahm Rule, the sizable rate reduction matched Sahm’s perspective on the need for expansionary monetary policy.³⁴ Even though Sahm had downplayed the imminent danger of the Sahm Rule trigger, she continued to advocate for a significant rate cut.³⁵ As noted by Jerome Powell, “The upside risks to inflation have diminished, and the downside risks to employment have increased.”³⁶ The decision between a 25 and 50 basis point cut was contentious, with a near-even split on the CME FedWatch tool.³⁷ As former Atlanta Fed economist and academic Vikram Kumar said before the decision, “This is certainly a time for heightened caution but not for policy panic.”³⁸

So why might a strong response have been considered appropriate? In part, it is an overcorrection after the minimal support provided by monetary and fiscal authorities following the Great Recession. With little fiscal help, Ben Bernanke, the Federal Reserve chairman at the time, imposed near-zero policy rates and multiple rounds of quantitative easing, buying mortgage-backed securities and treasury bonds to inject liquidity into the economy.³⁹ The U.S.

³¹ U.S. Bureau of Economic Analysis, “Personal Saving Rate.” Accessed April 7, 2025.

<https://www.bea.gov/data/income-saving/personal-saving-rate>.

³² Ibid.

³³ Federal Reserve, “September 17-18, 2024 FOMC Meeting,” September 18, 2024.

³⁴ Bloomberg Television, “Fed’s 50 Bps Rate Cut Was the Right Move, Claudia Sahm Says.” September 18, 2024.

<https://www.youtube.com/watch?v=WLCUeoRYcU>.

³⁵ Ibid.

³⁶ Federal Reserve, “September 17-18, 2024 FOMC Meeting,” September 18, 2024.

<https://www.federalreserve.gov/mediacenter/files/FOMCpresconf20240918.pdf>

³⁷ CME Group, “CME FedWatch.” Accessed April 7, 2025.

<https://www.cmegroup.com/markets/interest-rates/cme-fedwatch-tool.html>.

³⁸ Jay Pfeifer, “Econ Prof: Low Unemployment, Low Inflation Leave Narrow Window for Fed to Hold Steady.” Davidson College. Accessed April 7, 2025. <https://www.davidson.edu/news/2024/09/16/econ-prof-fed-holds-steady>.

³⁹ Ben Bernanke, “The New Tools of Monetary Policy.” Brookings Institution, January 4, 2020.

<https://www.brookings.edu/articles/the-new-tools-of-monetary-policy/>.

economy was slow to recover from the crisis, pushing off opportunities for the Fed to taper its expansionary policy. As a result, households and firms grew accustomed to having easy access to money with low borrowing costs. The “age of easy money” in the 2010s brought record corporate leverage, soaring asset valuations, and moral hazard as markets internalized the idea that the Fed would always provide a backstop.⁴⁰ Bernanke’s Fed viewed aggressively low rates as essential for stimulating economic growth. His strategy stabilized output but also created expectations that became difficult to reverse. By mishandling forward guidance, Bernanke set the stage for moral hazard across the private sector, leaving individuals and corporations vulnerable when the Fed suddenly altered its stance.

Ideally, effective forward guidance reduces uncertainty, lowers borrowing costs, and stimulates economic activity by aligning market expectations regarding future rates and inflation. Central banks seek to stabilize markets by using forward guidance to clearly signal policy trajectories, especially when traditional interest rate adjustments face constraints.⁴¹ Despite theoretical appeal, forward guidance faces practical challenges. Its efficacy diminishes when central banks inadequately articulate or fail to adhere strictly to communicated policy paths. This so-called “forward guidance trap” can potentially mislead markets, creating confusion, and eroding central bank credibility.⁴² During the post-pandemic recovery, the Federal Reserve leaned heavily on forward guidance to ensure that markets would have extended policy accommodation. This strategy proved problematic as inflation surged beyond policymakers’ expectations, underscoring central banks’ misjudgments about the pace of economic recovery and the persistence of inflation, which they initially considered transitory.⁴³

The failure of Silicon Valley Bank further underscores these vulnerabilities. Over-reliance on forward guidance fostered market complacency, embedding expectations that central banks would communicate monetary policy shifts. Once the Fed acknowledged that inflation was not transitory, it was forced to abandon its earlier guidance, marking the first time since the Great Recession that it prioritized inflation control over market stability. This pivot, delayed and reactive, highlighted the pitfalls of overly rigid forward guidance in the face of unanticipated shocks.⁴⁴ Such rigid assumptions left institutions like Silicon Valley Bank unprepared when economic conditions unexpectedly shifted, ultimately exacerbating their financial instability. Thus, overly stringent forward guidance paradoxically amplified rather than mitigated market volatility and institutional fragility.⁴⁵

Monetary theory traditionally suggests that accommodative policies, including lower interest rates and clear forward guidance, should stimulate economic activity by reducing borrowing costs, encouraging investments, and boosting consumer spending. Theoretically, this should stabilize inflation expectations and foster employment growth. However, the pandemic era revealed significant deviations from these theoretical expectations. Monetary stimulus, initially beneficial, had unforeseen adverse effects, particularly evident in housing market dynamics. Historically, low interest rates have sharply increased mortgage affordability, boosting home buying and refinancing activities. Concurrently, fiscal transfers enhanced consumer

⁴⁰ James Jacoby and Anya Bourg, “Age of Easy Money.” FRONTLINE PBS, March 14, 2023. <https://www.pbs.org/wgbh/frontline/documentary/age-of-easy-money/>.

⁴¹ Thomas L. Hogan, “The Failure of Forward Guidance: Lessons from the Pandemic Recovery.”

⁴² Athanasios Orphanides, “The Forward Guidance Trap.”

⁴³ Andrew T. Levin and Arunima Sinha, “Limitations on the Effectiveness of Monetary Policy Forward Guidance in the Context of the COVID-19 Pandemic.”

⁴⁴ Thomas L. Hogan, “The Failure of Forward Guidance: Lessons from the Pandemic Recovery.”

⁴⁵ Athanasios Orphanides, “The Forward Guidance Trap.”

purchasing power, particularly among households previously constrained by debt. This heightened demand triggered rapid home price appreciation, indirectly driving rental price inflation, a phenomenon broadly categorized as housing inflation.⁴⁶

The surge in home prices directly impacted Owners Equivalent Rent (OER), a measure estimating the rental income homeowners would receive if they rented out their own homes. OER constitutes about 20 percent of the Headline Personal Consumption Expenditure (PCE) index. Traditional OER calculations lagged behind actual rental market conditions, significantly understating inflation during the early stages of the recovery. CoreLogic's Single Family Rent Index, which measures rent changes for single-family homes, demonstrated this disparity clearly. Actual rents rose far more rapidly than official inflation statistics captured. Adjusting inflation calculations to reflect actual market rents would have raised measured inflation by nearly two percentage points by mid-2021.⁴⁷

Consequently, central banks, guided by misleading inflation measurements and overly rigid forward guidance continued accommodative policies longer than appropriate, unintentionally fueling sustained housing inflation. These policy miscalculations occurred because policymakers disproportionately relied on traditional metrics, such as preliminary OER data and standard forward-looking indicators, which historically provided consistent signals. Even though alternative measures and warnings existed, central banks favored established indicators due to their historical reliability and familiarity.⁴⁸ These decisions underline the complexities and delicate balance central banks must maintain between promoting economic recovery and ensuring long-term price stability.

V. Monetary Recommendations for the Future

In analyzing potential improvements in monetary policy during the COVID-19 pandemic, it is essential to reaffirm the Federal Reserve's dual mandate of achieving maximum employment and price stability. Initially, the Fed acted decisively through rapid reductions in the federal funds rate, extensive quantitative easing, and explicit forward guidance to stabilize financial markets and prevent economic collapse.⁴⁹ Nonetheless, certain policy limitations emerged, highlighting critical areas for enhanced caution and precision in future economic disruptions.

One notable limitation was the Fed's dependence on conventional economic indicators, specifically the Sahm Rule, which typically identifies recessions by observing a 0.5 percentage-point increase or greater in the three-month moving average of the unemployment rate from its recent low.⁵⁰ During the pandemic, unusual labor-market dynamics, characterized by large numbers of workers rapidly re-entering rather than leaving employment, compromised the reliability of this indicator. Consequently, this underscores the importance of exercising careful judgment when interpreting standard economic signals during atypical economic events, particularly regarding the Fed's employment objective.⁵¹

⁴⁶ William Diamond, Tim Landvoigt, and Germán Sánchez Sánchez, "Printing Away the Mortgages: Fiscal Inflation and the Post-Covid Housing Boom."

⁴⁷ Molly Boesel, Shu Chen, and Frank E. Nothaft, "Housing Preferences during the Pandemic: Effect on Home Price, Rent, and Inflation Measurement." *Business Economics* 56, no. 4 (2021): 200–211.

⁴⁸ Andrew T. Levin and Arunima Sinha, "Limitations on the Effectiveness of Monetary Policy Forward Guidance in the Context of the COVID-19 Pandemic."

⁴⁹ Daniel Bachman, "Federal Reserve Monetary Policy in the Time of COVID-19." Deloitte Insights, 2020.

⁵⁰ Ibid.

⁵¹ Ibid.

Moreover, preliminary economic data significantly hindered effective policy formulation. Initial metrics regarding employment growth and consumer savings underwent notable subsequent revisions, substantially altering policymakers' initial perceptions of economic conditions. For example, the personal saving rate, initially reported at 2.9%, was later revised upward to 4.9%, demonstrating how reliance on early, incomplete data can misguide essential monetary policy decisions.⁵² To maintain economic stability effectively, it is imperative that future monetary policy actions prioritize fully revised and verified economic indicators.

Additionally, forward guidance faced challenges. Forward guidance generally aims to shape market expectations by providing clarity on future policy intentions.⁵³ However, empirical analysis revealed that forward guidance during the pandemic was only effective in influencing market behavior when accompanied by explicit numerical projections, such as those provided in the SEP. Without such specificity, forward guidance risked generating market uncertainty or complacency, weakening policy credibility, and thereby reducing its effectiveness in achieving price stability.⁵⁴

These insights highlight critical refinements necessary for future monetary policy: prudent interpretation of traditional economic indicators, reliance on thoroughly revised economic data, and the provision of detailed and transparent forward guidance. Incorporating these improvements ensures a robust approach to achieving the Federal Reserve's dual mandate and effectively sets the foundation for evaluating the divergent monetary policy responses observed during the Great Recession and the COVID-19 pandemic.

The contrasting policy responses to the Great Recession and the COVID-19 pandemic provide an opportunity for evaluating how far, how fast, and for how long a modern central bank should intervene. The Great Recession demonstrated that a hands-off stance can be costly, leading to the age of easy money. The COVID-19 response produced the opposite dilemma. The economy suddenly transitioned from an environment of emergency-low rates coupled with rapid multi-trillion-dollar fiscal and monetary stimulus to the steepest federal funds rate increase since the 1980s.⁵⁵

What, then, should the playbook be for the next economic crisis? The Great Recession demonstrated the dangers of relying too heavily on markets to correct themselves, while the pandemic revealed the risks of excessive government intervention. An appropriate framework should integrate three key lessons from these downturns. First, liquidity needs to reach stressed areas swiftly, but support measures must include clear end dates to avoid shifting expectations. By March 26th of 2020, the Fed cut reserve requirements, freeing up roughly \$200 billion of trapped bank reserves, giving institutions instant balance sheet room to expand lending or absorb deposits.⁵⁶ Second, effective fiscal policies must be in place to allow monetary policy to remain focused on the dual mandate, rather than becoming a catch-all rescue method. Even before the passage of the mass fiscal stimulus, economists such as Olivier Blanchard and Lawrence Summers cautioned that pushing the exorbitant \$1.9 trillion risked overheating the economy and

⁵² Ibid.

⁵³ Jenny Tang and Maura Lynch, "Forward Guidance During the Pandemic: Has It Changed the Public's Expectations?" *Federal Reserve Bank of Boston Working Paper*, no. 21-2 (2021).

⁵⁴ Ibid.

⁵⁵ Congress.gov, "The Federal Reserve's Response to COVID-19: Policy Issues." April 27, 2025. <https://www.congress.gov/crs-product/R46411>.

⁵⁶ Federal Reserve Board, "Policy Tools - Reserve Requirements," March 26, 2020. <https://www.federalreserve.gov/monetarypolicy/reservereq.htm>

forcing an aggressive monetary response.⁵⁷ Third, transparency is essential. When Fed Chair Janet Yellen began tapering QE in December 2013, she paired each step with data-linked thresholds.⁵⁸ Clear forward guidance about the criteria for both expansionary and contractionary policy reduces moral hazard by reminding markets that support is conditional and temporary.

Neither a hands-off approach nor heavy intervention provides a lasting solution. The future of monetary policy lies somewhere in between, wherein the Federal Reserve acts swiftly in a crisis, tapers effectively afterward, and avoids unnecessary expansion of its role. This balanced approach upholds the dual mandate and protects the Fed's credibility for future uncertain challenges.

⁵⁷ Olivier Blanchard, "In Defense of Concerns over the \$1.9 Trillion Relief Plan | PIIE," February 18, 2021. <https://www.piie.com/blogs/realtime-economics/defense-concerns-over-19-trillion-relief-plan>.

⁵⁸ Board of Governors of the Federal Reserve System, "Federal Reserve Issues FOMC Statement." December 18, 2013. <https://www.federalreserve.gov/newsevents/pressreleases/monetary20131218a.htm>.

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<https://www.cbpp.org/research/poverty-and-inequality/robust-covid-relief-achieved-historic-gains-against-poverty-and>.
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<https://www.cbpp.org/research/poverty-and-inequality/robust-covid-relief-bolstered-economy-and-reduced-hardship-for>.
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